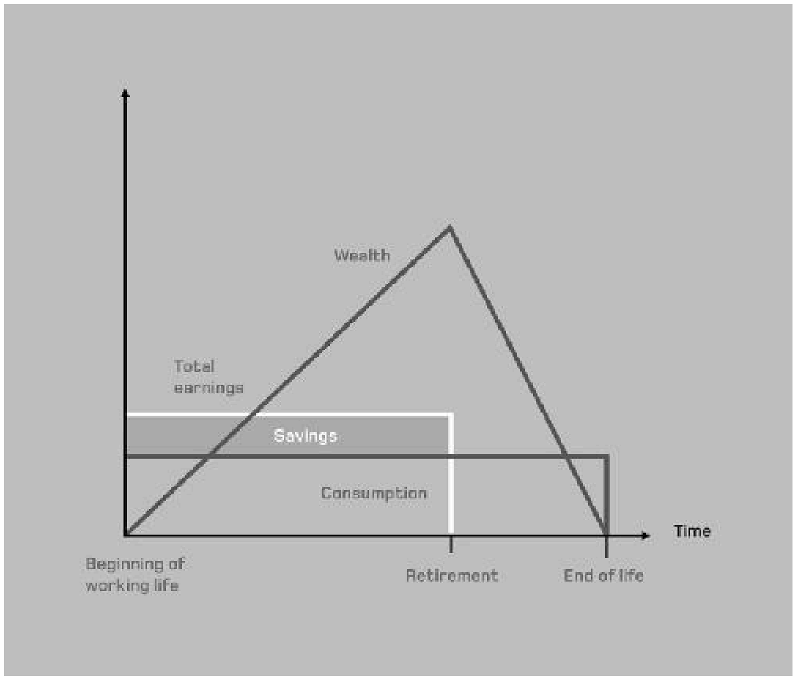
The life cycle and permanent income



Income and wealth over a typical lifetime

If people are rational they ought to decide how much to save and how much to spend not according to their month-by-month income, but by considering financial flows across their entire lifespans. The life cycle hypothesis says that people try to keep their spending fairly constant over time, smoothing their consumption by borrowing and saving. When young, people save some of their income for when they are old. When they are old they use these savings to finance their consumption.

A related idea is that of permanent income: anticipated lifetime income that is related to a person’s assets and skills. When an individual experiences a windfall, he realizes that this is a temporary rather than a permanent boost to income and so does not increase his spending, instead saving the extra transitory income. Similarly, people may borrow or use savings when their income falls temporarily. In this theory, the only thing that causes people to increase or decrease their consumption is when their permanent, long-run income changes.